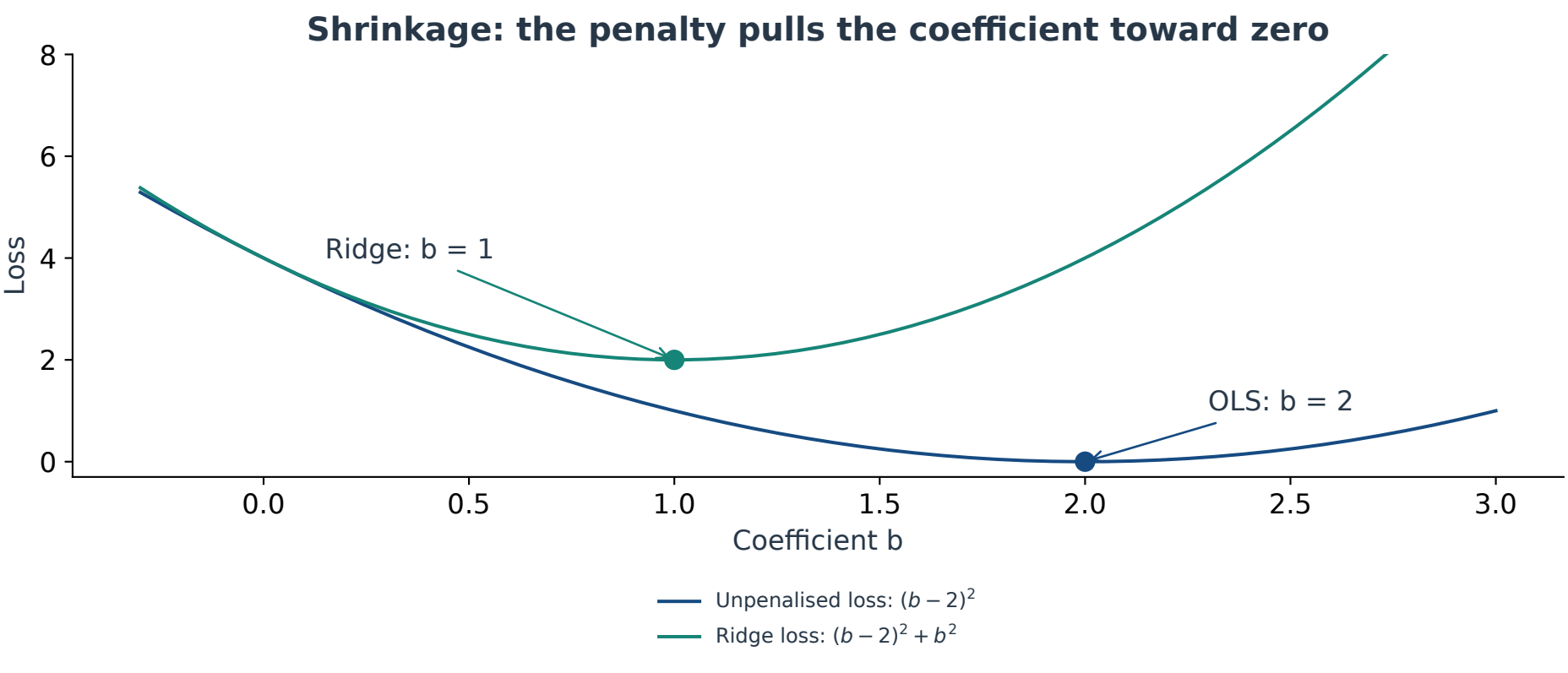
Shrinkage: the penalty pulls the coefficient toward zero
Loss
Coefficient b
Ridge: b = 1
OLS: b = 2
Unpenalised loss: $(b-2)^2$
Ridge loss: $(b-2)^2 + b^2$